

FINA3020: International Finance

CUHK Business School

Term 1, 2026–2027

Administration

Instructor:	Henry Zhang	henryzhang@cuhk.edu.hk
Office hours:	Tuesdays, 1:15–2:45pm	https://cuhk.zoom.us/j/98938469563
Course coordinator:	Haynes Yung	
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Lecture sections

- Section A: Mondays, 2:30–5:15pm (LSB C2)
- Section B: Tuesdays, 9:30am–12:15pm (ELB LT4)
- Section C: Mondays, 9:30am–12:15pm (UCC C5)

Each class lasts 165 minutes, divided by a 15-minute break between two 75-minute halves. I encourage you to ask questions during the break while the material is fresh in your mind; you may also ask questions during lecture and attend office hours.

Course Overview

This course studies financial decisions and policies that cross national borders. We begin with foreign exchange markets because they give us a concrete setting in which to learn quotations, transaction costs, arbitrage, and risk management. We then use those tools to study multinational firms. In the second half of the course, we move from firms and markets to national accounts, international banking, capital flows, and policy. The main topics are

1. **FX Markets and Parity Conditions:** spot and forward markets, bid-ask spreads, triangular arbitrage, covered and uncovered interest parity, purchasing power parity, and exchange rate regimes.
2. **Firms and Currency Risk:** transaction, economic, and translation exposure; forwards, money-market hedges, options, swaps, and international capital budgeting.
3. **Global Flows and Intermediaries:** balance of payments accounting, current and financial accounts, global financial cycles, international banks, offshore dollar markets, and capital markets.
4. **Regulation and Current Topics:** payment rails, dollar dominance, emerging-market crises, sovereign debt, fintech, and climate finance.

I use historical episodes along with current news and regulatory discussions to give context to the topics. Although this course does not require a formal background in mathematical proofs, the mathematical models are crucial for codifying the logical reasoning necessary to understand complicated decision-making in international financial markets. The models are intentionally simplified compared to reality. Their purpose is to show which assumptions result in which conclusions, to help you develop intuition about financial decisions.

Learning Outcomes

By the end of the course, you should be able to:

1. Read direct and indirect FX quotations and calculate transaction costs.
2. Identify and execute triangular and covered-interest arbitrage trades.
3. Explain the assumptions behind CIP, UIP, and PPP, provide examples of why the assumptions fail, and interpret data to aid decision-making when assumptions fail.
4. Measure a firm's FX exposure and compare common hedging methods.
5. Value a multinational investment project under currency and country risk.
6. Record cross-border transactions in the balance of payments and connect them to saving, investment, and capital flows.
7. Explain how banks, payment systems, and capital markets transmit international shocks.
8. Evaluate policy choices in various settings relevant to international finance today: currency, banking, sovereign debt, and climate finance.

Most topics follow the same cycle:

1. I introduce the topic in lecture.
2. You engage with the topic in a short in-class game. The game asks you to make decisions, and receive answers / feedback in between decisions.
3. You work through problem sets outside class. I release detailed solutions after the deadline.
4. The exams test the same reasoning as the games and problem sets, without notes, devices, or AI tools.

The games intentionally impose time pressure. Many real-world decisions are made under time pressure. I briefly discuss the solution in class, and provide more detailed written commentary after class so that you can review the material without time pressure for assignments and exams.

Grading

25% of the overall grade is participation and 75% are assessments. The full division of the course grade is below:

Component	Weight	How it works
In-class games	10%	There will be at least ten interactive games during lecture in this course, described below.
Problem sets	10%	There are four problem sets, described below.
In-class behavior	5%	If you engage in disruptive behavior, you will receive a warning the first time, and will lose points in this part of your grade for subsequent occurrences during the semester.
Midterm exam	25%	The midterm takes place in the first half of Week 6 and lasts 75 minutes. It covers Weeks 1–4.
Final exam	50%	The final is cumulative, during the last week of class, and lasts 150 minutes.

On exams, you cannot use notes, devices, AI tools nor other aids on the exams. You may bring simple calculators that do not have any phone / internet / app capabilities; I write the questions to avoid intensive computation. Students may leave one-by-one to use the restroom, but time will not be extended, and you must show that you do not bring any notes nor devices with you, both in and out of the exam room.

In-Class Games

The games are an interactive way to engage with course material. I will share the QR code and URL for the game during lecture. Bring an electronic device (laptop or tablet preferred, otherwise phone is fine) to each lecture. Each round takes around 10 minutes. You submit your CUHK ID at the beginning and end of the game. I record the time-stamps and will not accept responses after the game ends.

If you have an excused absence, in which case you must email the TA at least 24 hours before the beginning of lecture, then you are exempt from that lecture's game(s). If you have an unexcused absence, or otherwise do not participate during the allotted time, then your score is zero. You are graded solely on participation (providing serious responses), not on accuracy. Do not fear making mistakes.

Problem Sets

Problem sets contain several traditional analytical problems, and the exam questions will be easier versions of the problem set questions. I only require you to submit one problem from each problem set, the same for everyone in all sections, but I strongly encourage you to attempt all of the problems as you study for the exam. Submit a typed or typeset (e.g. $\text{\LaTeX}$) solution through GradeScope. Label each problem clearly. Late work is not accepted because the random selection and solutions are released after the deadline. If a documented emergency affects a deadline, contact the TA before the deadline when possible. Each problem set is worth 2.5% of the course grade.

The planned schedule is:

- Problem Set 1: Weeks 1–2; released during Week 1 and due on Week 3.
- Problem Set 2: Weeks 3–4; released during Week 3 and due on Week 5.
- Problem Set 3: Weeks 5–8; released during Week 5 and due on Week 9.
- Problem Set 4: Weeks 9–11; released during Week 9 and due on Week 12.

Use of AI and Other Tools

This course follows CUHK Approach 2: students may use AI tools in some learning activities and assessments but not in others. You may use AI tools on problem sets. At the beginning of each submission, state which tools you used and how you used them. You remain responsible for every line that you submit. Check calculations, definitions, units, and quotation conventions yourself. I recommend that you first attempt each problem without AI, then use a tool to check or challenge your reasoning. For in-class games, you can use AI tools but I strongly recommend that you try to solve the problem without AI. You are strictly forbidden from using AI tools, notes, communication, and electronic devices on exams.

Classroom Rules and Communication

Do not use phones, tablets, laptops, or smartwatches during lecture except to take notes or participate in the games. Students with an approved accommodation should inform the TA.

Please arrive on time. If you must leave during class, do so quietly. I encourage you to ask questions during lecture. Send personal or logistical questions to the TA by email.

Follow the [CUHK policy on academic honesty](#). Unauthorized collaboration, plagiarism, and cheating are subject to the university's disciplinary process.

Readings and Notes

The textbook is *International Finance*; Menzie D. Chinn and Douglas A. Irwin; Cambridge University Press, 2025; ISBN 9781009407847. You should be able to access it for free online via the CUHK library. References to textbook chapters in the weekly readings are to this book.

I assign required reading each week from the textbook, news articles, policy reports, and academic papers. The corresponding files and any updates will be posted on Blackboard at least one week before class when possible. I will post lecture slides by 9:00pm on the day before class.

I also encourage that you refer to *International Economics: Theory and Policy*; Paul Krugman, Maurice Obstfeld, Marc Melitz; Pearson, 2022; ISBN 9780321553980. I will not assign readings from this textbook, but it complements well the material discussed in lecture, with more depth on some topics than the *International Finance* textbook.

Weekly Course Outline

Week	Topic	Main application
1	FX markets, quotations, and order books	Read bid and ask quotes; calculate cross rates; trade a triangular arbitrage round.
2	Forward markets and parity conditions	Compare domestic and covered foreign investments; choose an arbitrage direction; distinguish CIP, UIP, and PPP.
3	Exchange rate expectations, carry trades, and regimes	Separate a forecast from a risk premium; manage a carry-trade portfolio through a shock.
4	Measure and hedge FX exposure	Choose among an unhedged position, a forward, a money-market hedge, and an option.
5	Multinational firms and capital budgeting	Value a foreign project and explain how tax, remittance, and country risk change the decision. The last 45 minutes of lecture are midterm exam review.
6	Midterm exam; Balance of payments	First 75 minutes: midterm exam. Last 75 minutes: record cross-border transactions in a double-entry ledger and trace capital flows.
7	International banking and Eurodollar markets	Bank balance sheets, foreign-currency funding, offshore dollar markets, and global liquidity.
8	Swap lines and the cross-currency basis	Manage a bank funding desk subject to a balance-sheet constraint; evaluate CIP deviations.
9	International bonds, equities, and portfolio choice	Compare home bias, diversification, and currency risk in a global portfolio.
10	Payment rails and dollar dominance	Design a cross-border payment route and compare cost, speed, liquidity, and settlement risk.
11	Emerging-market crises, sovereign debt, and fintech	Choose a policy response to a sudden stop and explain who bears the cost.
12	International climate finance; semester review	Allocate risk among a government, development bank, and private investor. The last 75 minutes of lecture are final exam review.
13	Final exam	

If your class coincides with a holiday or is disrupted due to inclement weather, there will be a

make-up class in-person during the same week.

For Section C, due to the Undergraduate Inauguration Ceremony, the **week 1 lecture is rescheduled to 6:30pm to 9:15pm on September 7** in TYW LT in Ho Sin-Hang Building.

For Sections A and C, due to the Chung Yeung Festival holiday on October 19, the **week 7 lecture is rescheduled to 6:30pm to 9:15pm on October 20** in YIA LT2.

Weekly Readings

The reading list emphasizes concise applications. Textbook chapters are assigned only when they match the week's topic closely; other weeks use articles, policy reports, and practitioner guides.

Week 1: FX markets, quotations, and order books

Required

- Course handout, "Introduction to Foreign Exchange Markets" (Blackboard).

Recommended

- Chinn and Irwin, Chapter 3, especially Sections 3.1–3.3 (currency trading, market supply and demand, and exchange-rate regimes), pp. 29–40.
- Chaboud, Rime, and Sushko, "The Foreign Exchange Market," BIS Working Paper No. 1094.

Week 2: Forward markets and parity conditions

Required

- Isard, "Uncovered Interest Parity," IMF Institute (2006).
- Borio, McCauley, McGuire, and Sushko, "Covered Interest Parity Lost: Understanding the Cross-Currency Basis," BIS Quarterly Review (2016), pp. 45–49 in the report.

Recommended

- Chinn and Irwin, Chapter 3, especially Sections 3.4–3.5 (interest-rate relationships and real exchange rates), pp. 40–52.
- Engel, "Exchange Rates and Interest Parity," *Handbook of International Economics*, vol. 4 (2014).

Week 3: Exchange-rate expectations, carry trades, and regimes

Required

- Melvin, Prins, and Shand, "Forecasting Exchange Rates: An Investor Perspective," *Handbook of Economic Forecasting*, vol. 2B (2013), at least pp. 2–10 of the posted PDF.

Recommended

- Chinn and Irwin, Chapter 6, especially Sections 6.3–6.4 (capital mobility and the international trilemma), and Chapter 8, "The Determinants of the Exchange Rate."

- Burstein and Gopinath, “International Prices and Exchange Rates,” *Handbook of International Economics*, vol. 4 (2014).
- Walker, “Forward Intervention,” in *Foreign Exchange Intervention in Inflation Targeters in Latin America* (IMF, 2019).

Week 4: Measuring and hedging FX exposure

Required

- Dahlquist and Knight, “Exchange Rates and Risk,” Section 20.3 of *Principles of Finance* (OpenStax).

Recommended

- Alfaro, Calani, and Varela, “Firms, Currency Hedging, and Financial Derivatives,” in *Handbook of Financial Integration*, pp. 340–370.

Week 5: Multinational firms and capital budgeting

Required

- Bowe, “International Financial Management and Multinational Enterprises,” *The Oxford Handbook of International Business*, 2nd ed. (2009), pp. 2–19 of the posted PDF.
- Rugman, “Taxes, Transfer Pricing, and the Multinational Enterprise,” *The Oxford Handbook of International Business*, 2nd ed. (2009), pp. 2–6 of the posted PDF.

Recommended

- Antràs and Yeaple, “Multinational Firms and the Structure of International Trade,” *Handbook of International Economics*, vol. 4 (2014), Section 2, pp. 5–12 of the posted PDF.

Week 6: Midterm exam; balance of payments

Required

- Obstfeld and Taylor, “International Monetary Relations: Taking Finance Seriously,” *Journal of Economic Perspectives*, vol. 31, no. 3 (2017), pp. 3–28.

Recommended

- Chinn and Irwin, Chapter 2, “Measuring the Economy and Its Interaction with the World,” pp. 9–28.

Week 7: International banking and Eurodollar markets

Required

- Gobat, “What Is a Bank?” *Finance & Development* (IMF, 2012).
- Buch and Goldberg, “Global Banking: Toward an Assessment of Benefits and Costs,” *Annual Review of Financial Economics*, vol. 12 (2020); read at least the first 15 pages of the posted PDF.

Recommended

- McCauley, “The Offshore Dollar and US Policy,” Federal Reserve Bank of Atlanta Policy Hub (2024).
- Eichengreen, Mehl, and Chițu, *How Global Currencies Work: Past, Present, and Future* (2018), Chapter 1, pp. 1–15.

Week 8: Swap lines and the cross-currency basis

Required

- Borio, McCauley, McGuire, and Sushko, “Covered Interest Parity Lost: Understanding the Cross-Currency Basis,” BIS Quarterly Review (2016), pp. 49–62 in the report.
- Bacchetta, Davis, and van Wincoop, “Arbitrage Limits Heighten Dollar Shortages during Volatile Times,” Federal Reserve Bank of Dallas Economics (2024).

Recommended

- Chinn and Irwin, Chapter 3, especially Section 3.4 on exchange rates and interest rates.

Week 9: International bonds, equities, and portfolio choice

Required

- Course handout, “Overview of International Financial Markets” (Blackboard), based on Section 7.2 of an open-source international business text.
- OECD, *Asia Capital Markets Report 2025*: executive summary (pp. 10–12), overview (pp. 16–22), and pp. 26 and 74.
- PwC, “Three Approaches to Apply CAPM.”

Recommended

- Dechert, “ETFs: A Beginner’s Guide.”
- Richardson, “Guide to China–Hong Kong Stock Connect,” first three pages.
- Brusa, Ramadorai, and Verdelhan, “The International CAPM Redux.”

Week 10: Payment rails and dollar dominance

Required

- Stripe, “International Payments 101.”
- Wharton, “How Payment Systems Benefit from Interoperability.”
- Gourinchas, Rey, and Govillot, “Exorbitant Privilege and Exorbitant Duty,” first six pages.

Recommended

- Chinn and Irwin, Chapter 3, especially the discussion in Section 3.1 of why the dollar is the world’s international currency.
- Tooze, “Dollar-like: Eurodollars, Crypto and the Future of Global Money” (2025).
- Waller, “Reflections on a Maturing Stablecoin Market” (2025).
- Bech, Faruqui, and Shirakami, “Payments without Borders,” BIS Quarterly Review (2020).

Week 11: Emerging-market crises, sovereign debt, and fintech

Required

- World Economic Forum, *The Future of Global Fintech* (2025): executive summary (p. 4), Chapter 4 on financial inclusion (pp. 29–35), and Chapter 6 on the industry’s future (pp. 45–48).
- World Bank, “Managing Sovereign Debt” (2022).
- Buch, “How Can We Protect Economies from Financial Crises?” (2017).

Recommended

- Chinn and Irwin, Chapter 9, “Emerging Market Crises: The Boom–Bust Cycle,” and Chapter 11, “The Eurozone Crisis,” for a comparison with a sovereign-debt crisis inside a currency union.
- Gelos, “Financial Conditions in a Changing Global Financial System” (2025).
- Kaminsky and Reinhart, “The Twin Crises: The Causes of Banking and Balance-of-Payments Problems,” *American Economic Review* (1999).

Week 12: International climate finance; semester review

Required

- Naran, Zhang, and Gupta, “Understanding Global Concessional Climate Finance” (Climate Policy Initiative, 2024), summary.
- Jena and Saxena, “Blended Finance” (World Economic Forum, 2023).
- ICMA, *Green Bond Principles* (2025), p. 3.
- World Bank, “State and Trends of Carbon Pricing 2026.”
- Dawes, “What’s Plaguing Voluntary Carbon Markets” (2025).

Recommended

- Giglio, Kelly, and Stroebe, “Climate Finance,” *Annual Review of Financial Economics* (2021).
- Flammer, Giroux, and Heal, “Blended Finance.”
- World Bank Carbon Pricing Dashboard.